

THE SESSION · POST-CLOSE READ

Tech Leads, Yields Climb

The S&P 500 gained 0.67% and the Nasdaq 1.03% as technology led, even as the 10-year Treasury yield rose to roughly 5.3%. Dividend Strategy +0.77% beat DVY and SPY; Growth Portfolio +0.82% trailed IUSG.

S&P 500 ▲ 0.67%

NASDAQ ▲ 1.03%

DOW ▲ 0.18%

VIX ▲ 1.63%

BRENT ~\$100-102

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.77%

1-DAY

FCI		+0.77%
DVY		+0.03%
SPY		+0.68%

YTD +17.37% vs DVY +11.08% · SPY +14.52%

GROWTH PORTFOLIO

▲ TRAILED IUSG

+0.82%

1-DAY

FCI		+0.82%
IUSG		+0.91%

YTD +24.19% vs IUSG +18.30%

THE SESSION

Equities advanced on Monday as technology led, even with long-dated Treasury yields pushing higher. The S&P 500 gained 0.67% to 7,774, the Nasdaq rose 1.03% to 27,471 and the Dow added 0.18% to 51,268, while the VIX edged up to 15.6. Yahoo Finance reports that the Nasdaq reached a record high during the session. CNBC reports that the 10-year Treasury yield rose to roughly 5.3%, its highest level since 2002, as investors weighed the services data and looked ahead to Wednesday's release of the Federal Reserve's September meeting minutes. The Institute for Supply Management reported that its services index registered 54.9 in September, slightly below the roughly 55 consensus, with its prices component rising to 74. Brent traded near \$100 to \$102 a barrel, little changed to modestly lower depending on the source, with Bloomberg reporting that a Saudi price cut for Asian buyers offset concern over fighting in Yemen.

The Dividend Strategy gained 0.77%, ahead of DVY's 0.03% by 0.74 point and of SPY's 0.68% by 0.09 point, with fifteen of twenty-five holdings higher. Constellation Energy was the largest contributor, rising 3.93% to \$267.62 and adding about 0.25 point; the move came on a day when the Department of Energy announced a conditional loan commitment for Vistra's nuclear plants, which suggests a sector-wide read-through, though no company-specific news was identified. Stryker added 3.60% to \$285.34, with TradingKey attributing the move to a rebound from oversold levels after a September decline, and Steel Dynamics gained 3.90% to \$241.04 as 24/7 Wall St reports that U.S. steel producers rallied together. Qualcomm was the largest drag, falling 2.21% to \$180.79 and subtracting about 0.11 point, even as it and Huawei announced a multiyear patent license agreement.

*Technology leadership and a Treasury yield near levels last seen in 2002, per CNBC, shared the same session. Our work is to know what each business earns through the cycle, not to trade the day's tape. **Think Like an Owner.***

The Growth Portfolio gained 0.82% while IUSG rose 0.91%, trailing by 0.09 point, with fourteen of twenty-five holdings higher. Vistra was the largest contributor, rising 3.50% to \$144.92 and adding about 0.18 point after Energy Secretary Chris Wright announced a conditional federal loan commitment of up to \$4.2 billion for uprates at the company's Beaver Valley, Davis-Besse and Perry nuclear plants, per the Department of Energy. NVIDIA added 2.12% to \$238.90 and Taiwan

Semiconductor 2.78% to \$485.91, while ServiceNow gained 1.27%. Credo was the largest drag, falling 2.82% to \$212.48 and subtracting about 0.09 point; no company-specific news identified. IBIT rose 1.74% and ETHA 1.59%. On the year, the Dividend Strategy stands at +17.37% against DVY's +11.08%, a +6.29-point spread, with SPY at +14.52%; the Growth Portfolio stands at +24.19% against IUSG's +18.30%, a +5.89-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

CEG +3.93% DIVIDEND
Closed at \$267.62, the Dividend Strategy's largest contributor, as nuclear peer Vistra was announced for a conditional federal loan commitment; no company-specific news identified.

STLD +3.90% DIVIDEND
Closed at \$241.04 as 24/7 Wall St reports that U.S. steel producers rallied together.

DECLINERS

CRDO -2.82% GROWTH
Fell to \$212.48, the largest drag on the Growth Portfolio; no company-specific news identified.

QCOM -2.21% DIVIDEND
Fell to \$180.79, the largest drag on the Dividend Strategy, despite the announced multiyear patent license agreement with Huawei.

SYK +3.60% DIVIDEND
Closed at \$285.34 as TradingKey attributes the move to a rebound from oversold levels after a September decline.

VST +3.50% GROWTH
Closed at \$144.92, the Growth Portfolio's largest contributor, after the Department of Energy announced a conditional loan commitment of up to \$4.2 billion for nuclear uprates.

NWG -0.91% DIVIDEND
Closed at \$17.51; no company-specific news identified.

TOL -0.87% GROWTH
Closed at \$135.42; no company-specific news identified.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+17.37%

vs DVY +11.08% / SPY +14.52%

Spread vs DVY +6.29 pts

GROWTH PORTFOLIO

+24.19%

vs IUSG +18.30%

Spread vs IUSG +5.89 pts